

International Political Economy

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Last class: The role of central bank independence

- Inflation targeting increases credibility in monetary policy.
 - $\downarrow$ transactions costs and helps addressing external shocks.
- Left v. right $\approx$ $\downarrow$ unemployment v. $\uparrow$ investment.
 - $\downarrow$ interest rates $\Rightarrow$ $\uparrow$ aggregate demand $\Rightarrow$ $\uparrow$ generating inflation.
 - This can help with real business cycles (Neokeynesianism)...
 - ...but NAIRU in long-run.
 - If neoclassic, $\downarrow$ interest rates $\Rightarrow$ $\uparrow$ inflation. (Distorts markets.)
- If autocracy, likely need to adopt fixed exchange rates for credibility.
- Interest rate can create distributive conflict similar to tariff policy.
 - $\downarrow$ interest rate: worsen terms of trade; affects consumers and GVCs.
 - $\uparrow$ interest rate: improves TOT; affects import competing firms.

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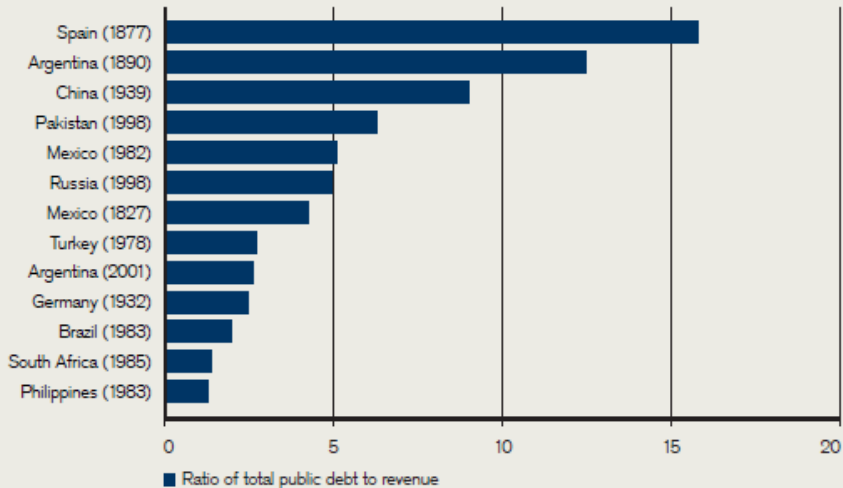
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Defaults at very different debt/revenue levels

Source: Reinhart & Rogoff (2009)



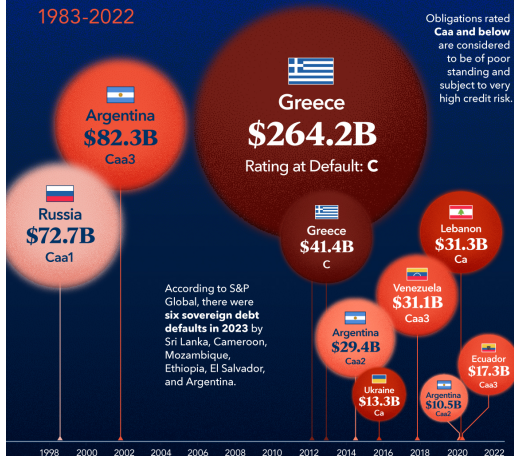
THE 10 LARGEST Sovereign Debt Defaults

1983-2022

Moody's Rating Scale



Obligations rated
Caa and below
are considered
to be of poor
standing and
subject to very
high credit risk.



Financial liberalization

- Less scarce resources, reducing borrowers premiums.
 - ...less strict conditions due to competition between lenders.
- Issuing debt requires stronger market discipline (bond ratings).
- Restrict government's sovereignty. (Mundell-Fleming)
- Capital account openness may expose countries to shocks.
- Private debt also factors, but can generate capital flight.
 - Good times: invest in emerging markets; bad, take money out.

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Debt crises

The 10 recommended policy reforms of the Washington Consensus

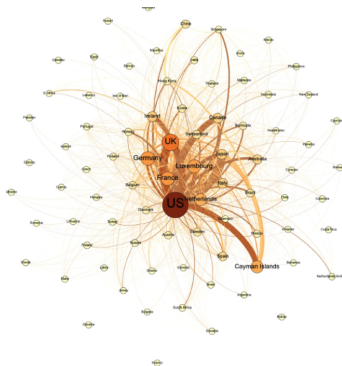
1. Reduce national budget deficits
2. Redirect spending from politically popular areas toward neglected fields with high economic returns
3. Reform the tax system
4. Liberalize the financial sector with the goal of market-determined interest rates
5. Adopt a competitive single exchange rate
6. Reduce trade restrictions
7. Abolish barriers to foreign direct investment
8. Privatize state-owned enterprises
9. Abolish policies that restrict competition
10. Provide secure, affordable property rights

From Douglas A. Irwin and Oliver Ward's blog, "What is the 'Washington Consensus?'"

■ Debt repayment crises and Washington consensus.

- Contagion; can be twin: devaluation makes debt expensive.
- Highest in developed countries; composition different.
 - Natural resources: FDI; L-abundant: FDI; K-abundant: Equity.
- Incentives for race to the bottom; or fixed exchange rates.

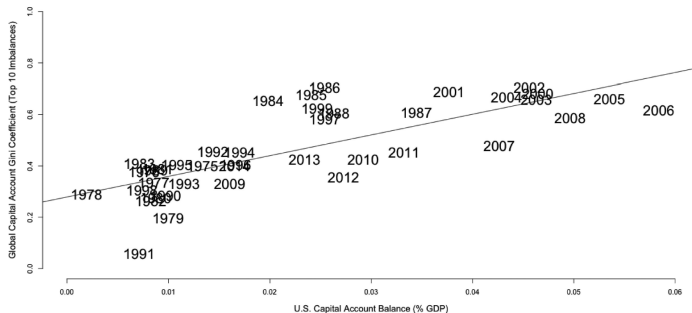
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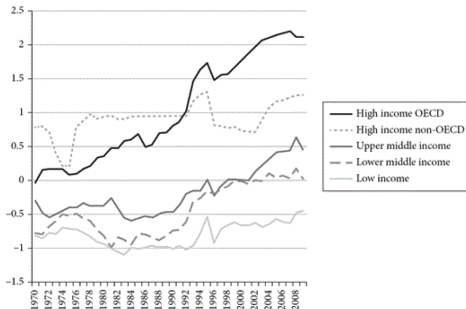
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Legal capital account openness 1970–2009

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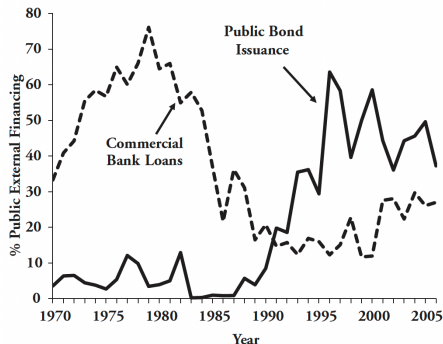
Debt crises



Assets and Liabilities/GDP, by Group

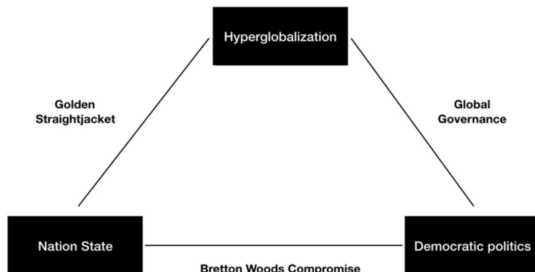
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The conditional debt market cycle

		<i>Political Motivation</i>	
		Low Inflation-Aversion	High Inflation-Aversion
<i>Financial Means</i>	Low Funding Constraints	Expansionary Policy <i>The Traditional PBC</i> <i>(High Growth, High Inflation Cycle)</i>	Neutral-Contractionary <i>The Inflation-Averse</i> <i>Political Austerity Cycle</i> <i>(Moderate Growth, Low Inflation Cycle)</i>
	High Funding Constraints	Neutral-Contractionary <i>The Market-Induced</i> <i>Political Austerity Cycle</i> <i>(Moderate Growth, Low Inflation Cycle)</i>	Contractionary <i>The Political Austerity Cycle</i> <i>(Low Growth, Low Inflation Cycle)</i>

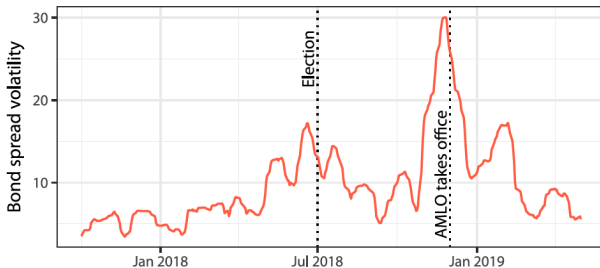
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- Left: incentives to expand aggregate demand but hands tied.
- Debt at beginning of term, to then political austerity. Why?
 - ...recall efficient market hypothesis! Also role of informed voters.
- Less problematic in autocracy; lower debt. Why?

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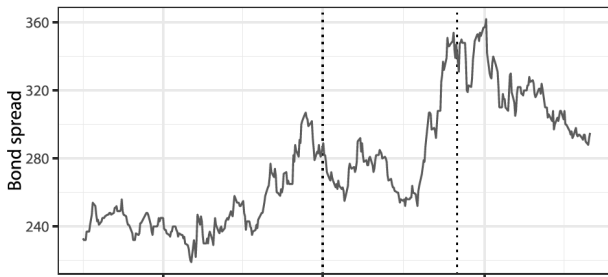
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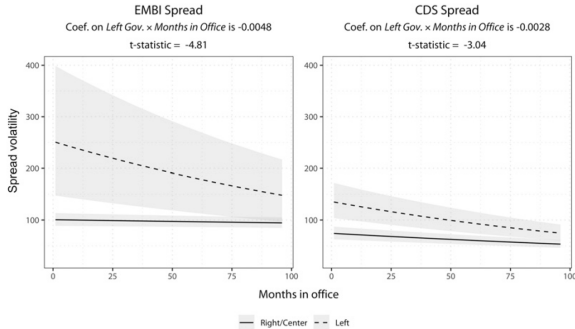
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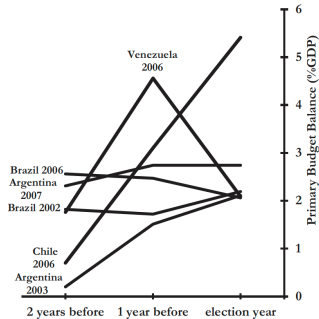
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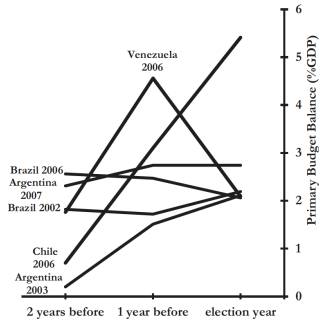
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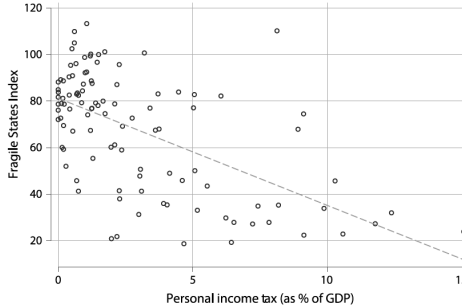
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As a tool to construct state capacity



■ No need to rely on direct taxes, which may be opposed.

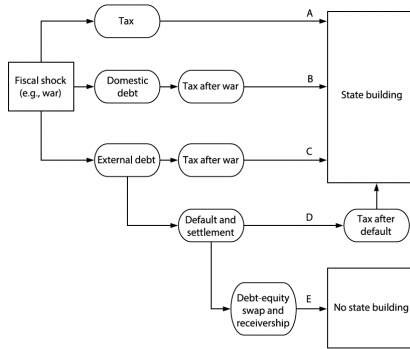
■ Esp. during wars in 19th century...

■ Expand state capacity and pump aggregate demand.

■ Repay with collateral or golden straightjacket.

■ ...it is an alternative to finance the state.

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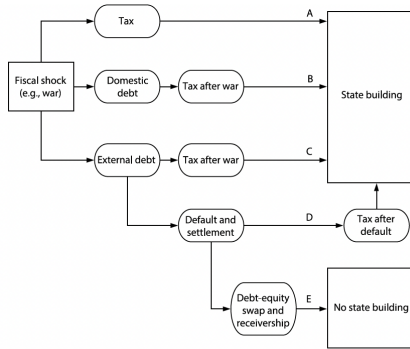
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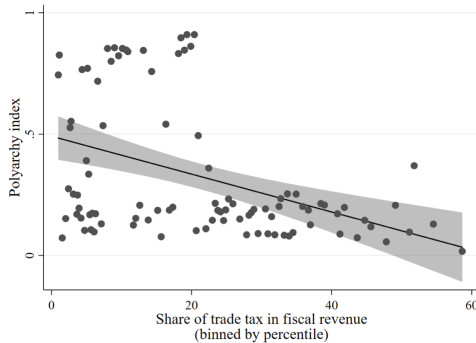
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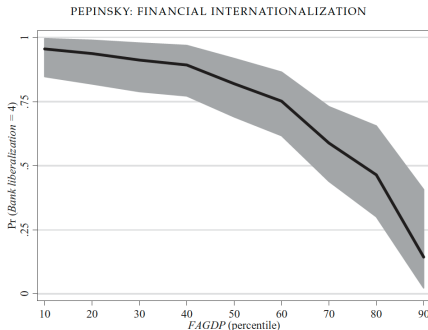
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The role of competition



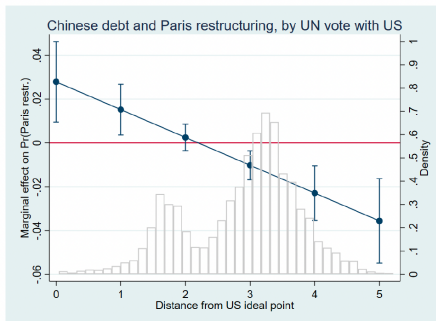
- Strong domestic financial institutions resist foreign borrowers.
- China reduces borrowing countries' demand for Paris Club relief.
 - Paris club—22 permanent creditor nations to facilitate restructuring
- Paris club fearing (China) free-riding, increase risk premiums.
- ...reduces also the democratic advantage.

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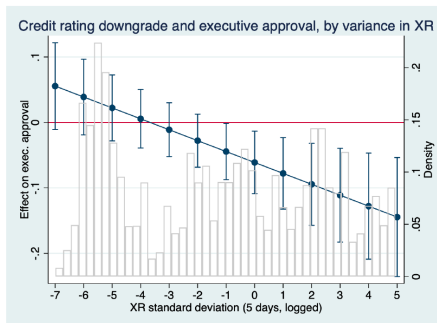
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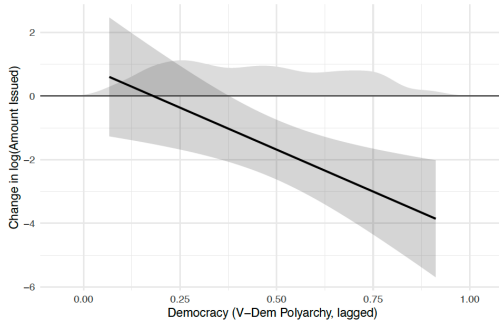
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Class exercise: Tariff revenues + debt + lower rates

- 1 Make groups of 2/3 people.
- 2 Consider US debt grew to 38 trill. USD.
- 3 Is this bad for USD status as reserve currency?
- 4 Consider tariff revenues—do they exacerbate the problem?
- 5 What if interest rates are lowered?
- 6 But why (using our IPE hat)?
- 7 15 minutes.
 - Feel free to use the Internet.
 - I will chose someone from the group.
 - Representative will convey main ideas.



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